

Union Bank of India

October 07, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Infrastructure bonds	SEBI	10,000.00	CARE AAA; Stable	Reaffirmed
Tier II bonds ^{&}	SEBI	2,200.00	CARE AAA; Stable	Reaffirmed
Perpetual bonds [#]	SEBI	-	-	Withdrawn

Details of instruments/facilities in Annexure-1.

[&]Tier-II bonds under Basel-III are characterised by a 'point of non-viability' (PONV) trigger, due to which, the investor may suffer a loss of principal. PONV will be determined by the Reserve Bank of India (RBI) and is a point at which, the bank may no longer remain a going concern on its own unless appropriate measures are taken to revive its operations, and thus, enable it to continue as a going concern. Difficulties faced by a bank should be such that these are likely to result in financial losses and raising the Common Equity Tier-I (CET I) capital of the bank should be considered the most appropriate way to prevent the bank from turning non-viable.

[#]CARE Ratings Limited (CareEdge Ratings) has rated the mentioned Basel-III compliant additional Tier-I bonds after considering following key features:

- The bank has full discretion, at all times, to cancel coupon payments. The coupon is to be paid from the current year's profits. However, if the current year's profits are not sufficient, the payment of such coupon is likely to result in losses in the current year, balance coupon payment may be made from revenue reserves, including statutory reserves and/or credit balance in profit and loss account and excluding share premium, revaluation reserve, foreign currency translation reserve, investment reserve, and reserves created on amalgamation, provided the bank meets the minimum regulatory requirements for CET I, Tier-I and total capital ratios, and capital buffer frameworks as prescribed by the RBI.
- The instrument may be written down on CET I breaching pre-specified trigger of 6.125% on and after October 01, 2021, or written-off/converted into common equity shares on the occurrence of the trigger event called PONV. PONV trigger will be determined by the RBI. Delays in payment of interest or principal (as the case may be) due to invocation of features mentioned will constitute an event of default per CareEdge Ratings' definition of default, and as such these instruments may exhibit somewhat sharper migration of the rating compared to other subordinated debt instruments.

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Rationale and key rating drivers

Reaffirmation of ratings assigned to long-term debt instruments of Union Bank of India (UBI) factor in the bank's comfortable capitalisation levels supported by internal accruals and equity raise in FY24. Ratings also favourably factor in improvement in the bank's asset quality and earnings profile over the years. CARE Ratings Limited (CareEdge Ratings) expects the bank's asset quality parameters to remain stable in the near term.

Ratings continue to factor in the majority ownership of Government of India (GOI) and its expected continued support and UBI's position as the fifth-largest public sector bank (PSB) in India in terms of total business. In addition, ratings also consider UBI's strong and established franchise through its PAN-India branch network and diversified advances profile.

However, the bank's resource profile remains moderate compared to peers with proportion of current account savings account (CASA) deposits remaining lower than larger PSBs. While asset quality parameters have seen improvement in the last three years, they continue to remain moderate compared to peer PSBs.

CareEdge Ratings has withdrawn ratings on perpetual bond (INE692A08029) due to redemption by exercise of the call option by the bank.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could individually or collectively lead to positive rating action/upgrade:

- Not applicable

Negative factors - Factors that could individually or collectively lead to negative rating action/downgrade:

- Dilution in GOI support and ownership below 51%.
- Deterioration in asset quality parameters with net non-performing assets (NNPA) ratio remaining above 3% on a sustained basis.
- Decline in profitability on a sustained basis, leading to a weakening in capitalisation levels.

Analytical approach: Standalone

Ratings are based on the bank's standalone profile and factor in strong and continued support from the GOI, which holds majority shareholding in the bank.

Outlook: Stable

The 'stable' outlook reflects CareEdge Ratings' expectation that UBI will register a steady growth in advances and deposits while maintaining healthy profitability and stable asset quality.

Detailed description of key rating drivers

Key strengths

Majority ownership of and continued support from GOI

GOI continues to be the majority shareholder, holding 74.76% in UBI as on June 30, 2026. GOI has been supporting PSBs with regular capital infusions and steps to improve capitalisation, operational efficiency, and asset quality. The bank raised equity capital through qualified institutional placement (QIP) of equity shares in FY24, which resulted in dilution in GOI's shareholding reduced below 75%, enabling the bank to align with the regulatory requirement of minimum public shareholding of over 25%.

Given GOI's majority ownership and its systemic importance being one of the largest PSBs in the domestic banking system, CareEdge Ratings expects the bank to receive timely and need-based capital and operational support from GOI, which remains a key rating sensitivity.

Long track record of operations with an established franchise and balanced advances growth

UBI has a long and established operational track record of over a century and is the fifth-largest nationalised bank in terms of total assets and business. With effect from April 01, 2020, erstwhile Corporation Bank and Andhra Bank were amalgamated with UBI which increased the bank's geographical presence.

The bank's franchise includes over 8,700 branches including two overseas branches (Dubai and Sydney) and over 8,750 ATMs in India, and a banking subsidiary in London (United Kingdom) as on June 30, 2026. The bank had advances (net) of ₹1,072,255 crore as on June 30, 2026. The bank has been focusing on retail, agriculture, and micro, small and medium enterprises (MSME; RAM) segments, which together constituted 55.47% of total advances and the overseas advances constituted ~3% as on June 30, 2026.

The bank would continue to focus on RAM segments and their proportion in the loan book is unlikely to change materially from current levels in the medium term.

Comfortable capitalisation levels with adequate cushion over the regulatory requirement

The bank has seen steady improvement in its capitalisation levels and reported capital adequacy ratio (CAR) of 18.46% with Tier-I CAR of 17.32% and common equity tier I (CET-I) ratio of 16.38% as on June 30, 2026. The bank raised equity capital through the QIP (non-government) route of ₹1,447 crore in May 2021 and ₹8,000 crore in FY24, which with internal accruals has helped the bank to improve its capitalisation levels. CareEdge Ratings expects UBI to maintain comfortable capitalisation with sufficient cushion over the minimum regulatory requirement to support its advances growth and the bank has a board approval for raising capital of ₹8,000 crore through equity, AT-I Bonds and Tier-II bonds in FY27.

Healthy, albeit moderating, profitability

In FY26, the bank reported moderate growth in advances at ~10.5%, which was lower than the industry growth of ~14.5% and deposits growth also remained lower at ~2.7% against industry growth of ~11.5%. Growth in advances remained moderated as

the bank witnessed pressure on yield on advances and was selective in credit growth to maintain margins. The Bank's net interest margin (NIM) declined to 2.40% in FY26 from 2.59% in FY25, primarily due to the immediate repricing advances following interest rate cuts, while deposit repricing lagged, resulting in pressure on margins.

The non-interest income decreased marginally ~1.9% in FY26 majorly due to decrease in fee-based income and treasury income which was partially offset by increase in interest on income tax refund. The bank witnessed increase in cost to income ratio to 48.98% in FY26 from 45.48% in FY25, which resulted in reduction of the bank's pre provision operating profit (PPOP) to ₹28,620 crore in FY26 from ₹31,090 crore in FY25.

The credit cost (percentage of average total assets) decreased from 0.53% in FY25 to 0.29% in FY26. This helped the bank increase profit after tax (PAT) from ₹17,987 crore in FY25 to ₹18,697 crore in FY26 and thus return on total assets (ROTA) stood at 1.23% in FY26 from 1.25% in FY25.

In Q1FY27, the bank witnessed increase in NIM from 2.44% in Q1FY26 to 2.58% in Q1FY27 primarily due to lower cost of funds as the bank shed off bulk deposits and also due to repricing of deposits. Non-interest increased marginally by ~2.6% compared to Q1FY26 mainly due to higher interest from income tax refund supported by higher income from PSL certificates. Operating expenses as a percentage of average assets reduced from 1.79% in Q1FY26 to 1.71% in Q1FY27. Credit cost also decreased from 0.45% in Q1FY26 to 0.25% mainly due to lower incremental provision on standard assets. ROTA increased from 1.10% in Q1FY26 to 1.37% in Q1FY27 on an annualised basis.

Key weaknesses

Moderate but improving asset quality

While the bank has seen improvement in its asset quality parameters with reduction in gross NPA (GNPA) in the last three years with lower incremental slippages, write-offs, and recoveries, asset quality metrics remain moderate compared to other peer PSBs. The bank has been focusing on recoveries from NPA and has taken measures to improve its underwriting processes and standards, which have helped the bank to reduce incremental slippages. In FY26, the bank's slippage ratio declined to 0.89% and further to 0.82% (annualised) for Q1FY27 compared to 1.40% for FY25.

The bank's GNPA ratio stood at 2.82%, and NNPA ratio stood at 0.48% as on March 31, 2026, against GNPA of 3.60% and NNPA of 0.63% as on March 31, 2025. The bank's GNPA and NNPA ratios improved further to 2.65% and 0.47%, respectively, as on June 30, 2026. The bank's NNPA to net worth ratio stood at 4.31% as on March 31, 2026, against 5.72% as on March 31, 2025. Provision coverage ratio (excluding TWO) stood at 83.33% as on March 31, 2026, compared to 83.11% as on March 31, 2025, and at 82.76% as on June 30, 2026.

CareEdge Ratings notes that the bank has been able to improve its asset quality parameters and keeping them aligned with peer banks remains a key rating monitorable.

Moderate resource profile compared to peer banks, with lower CASA proportion

Although the bank has an established franchise, its proportion of CASA deposits to total deposits is lower compared to peer public sector banks. In FY26, UBI's total deposit grew at ~2.7%, whereas its CASA deposits grew at ~7.9%. The bank's CASA deposit constituted 35.20% as on March 31, 2026, compared to 33.51% as on March 31, 2025. The proportion of bulk term deposit to total term deposits have reduced from 41.05% in FY25 to 32.64% in FY26 leading to reduction in the cost of deposits. The bank raised infrastructure bonds of ₹3,000 crore in FY26.

As on June 30, 2026, the bank's CASA deposit proportion stood at 35.09%. While garnering low-cost deposits remains a challenge for the overall banking industry at large, improvement in the deposit profile with growth in the CASA ratio would help UBI reduce its cost of deposits and improve profitability.

Liquidity: Strong

According to the structural liquidity statement as on June 30, 2026, there were no negative cumulative mismatches in the time buckets up to five years. Liquidity coverage ratio (average) and net stable funding ratio (NSFR) as on June 30, 2026, stood at 121.30% and 118.72%, against the minimum regulatory requirement of 100%. The bank also had an excess statutory liquidity ratio (SLR) of ~₹30,440 crore (2.29% of net demand and time liabilities [NDTL]) as on June 30, 2026, which provides a liquidity buffer, and the bank can borrow against it in case of liquidity requirements.

The bank also manages its deposit maturities in a particular time bucket by appropriately modifying deposit rates. The bank has access to systemic liquidity such as RBI's liquidity adjustment facility (LAF) and marginal standing facility (MSF) and access to refinancing from Small Industries Development Bank of India (SIDBI), National Housing Bank (NHB), and National Bank for Agriculture and Rural Development (NABARD), among others, and access to call money markets.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks

While UBI's business model limits its direct exposure to environmental risks, credit risk may arise if operations of asset class of the portfolio are adversely impacted by environmental factors.

Social risks in the form of cybersecurity threat or customer data breach or mis-selling practices can affect the bank's regulatory compliance and reputation and hence remains a key monitorable.

UBI board comprises eight Directors, with two Independent Directors and also includes one female Director.

Applicable criteria

[Definition of Default](#)

[Factoring Linkages Government Support](#)

[Rating Outlook and Rating Watch](#)

[Banks](#)

[Financial Ratios - Financial Sector](#)

[Withdrawal Policy](#)

[Rating Basel III - Hybrid Capital Instruments issued by Banks](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Banks	Public sector bank

Established in 1919, UBI is the fifth-largest PSB in India in total business and total assets after amalgamation of Andhra Bank and Corporation Bank effective from April 01, 2020. UBI has pan-India network of over 8,700 branches, two overseas branches, and over 8,750 ATMs as on June 30, 2026.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	1,25,722	1,25,427	31,806
Profit after tax (PAT)	17,987	18,697	5,332
Total assets	14,91,186	15,58,317	15,43,540*
Net interest margin (NIM) (%)	2.59	2.40	2.58^
Gross non-performing assets (NPA) (%)	3.60	2.82	2.65
Net NPA (%)	0.63	0.48	0.47
Capital adequacy ratio (CAR) (%)	18.02	18.10	18.46

A: Audited; UA: Unaudited; Note: these are latest available financial results, ^annualised and *reported.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4**Disclosure on facilities/instruments and name of regulators:**

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Bonds-Infrastructure Bonds (proposed)	SEBI	Simple	NA	-	-	-	7000.00	CARE AAA; Stable
Bonds-Infrastructure Bonds	SEBI	Simple	INE692A08235	24-Mar-2026	7.16	24-Mar-2036	3000.00	CARE AAA; Stable
Bonds-Perpetual Bonds	SEBI	Highly Complex	INE692A08029	15-Sep-2016	9.50	15-Sep-2026 (call option exercised)	0.00	Withdrawn
Bonds-Tier II Bonds	SEBI	Complex	INE692A08219	29-Nov-2022	7.85	29-Nov-2037	1500.00	CARE AAA; Stable
Bonds-Tier II Bonds	SEBI	Complex	INE692A08201	29-Nov-2022	7.80	29-Nov-2032	700.00	CARE AAA; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Bonds-Lower Tier II	LT	-	-	-	-	-	1)Withdrawn (17-Apr-23)
2	Bonds-Perpetual Bonds	LT	-	-	-	1)CARE AA+; Stable (13-Mar-26) 2)CARE AA+; Stable	1)CARE AA+; Stable (19-Sep-24)	1)CARE AA+; Stable (20-Sep-23)

						(16-Sep-25)		
3	Bonds-Tier I Bonds	LT	-	-	-	-	-	1)Withdrawn (17-Apr-23)
4	Bonds-Tier II Bonds	LT	-	-	-	-	-	1)Withdrawn (17-Apr-23)
5	Bonds-Tier II Bonds	LT	2200.00	CARE AAA; Stable	-	1)CARE AAA; Stable (13-Mar-26) 2)CARE AAA; Stable (16-Sep-25)	1)CARE AAA; Stable (19-Sep-24)	1)CARE AAA; Stable (20-Sep-23)
6	Bonds-Infrastructure Bonds	LT	10000.00	CARE AAA; Stable	-	1)CARE AAA; Stable (13-Mar-26)	-	-

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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